THIS WEEK'S FILE · FOUNDER FILE #006

THE $401 MILLION COMPANY WITH TWO EMPLOYEES, AND WHAT THE HEADLINE LEFT OUT

Matthew Gallagher built Medvi in two months with $20,000 and a stack of AI tools. The New York Times reviewed financials showing $401 million of sales in 2025. It is the best-documented revenue in this series, and it comes with the biggest warning.

THE FILE

FOUNDER	Matthew Gallagher, Founder and CEO
COMPANY	Medvi
FOUNDED	2024
HQ	Los Angeles
SECTOR	Telehealth (GLP-1 weight-loss medication)
STAGE	Private, bootstrapped
FUNDING	None (no outside investment, per the New York Times)
MODEL	Sells compounded GLP-1 prescriptions direct to patients; clinical work outsourced to partners

Hello again, and welcome to File #006. Thank you for staying with us.

Picture a man in Los Angeles whose mobile phone will not stop ringing. He runs a company that took in $401 million last year. The callers are his customers. They asked his website's chatbot for a human being, and the chatbot, having no other human to offer, put them through to the founder's own phone. This happened more than a thousand times.

That detail comes from the New York Times, which on 2 April 2026 published a profile of Matthew Gallagher under a headline every founder read twice: a $1.8 billion company with two employees, made possible by AI. Within a week it was one of the most argued-over business stories of the year.

We'll say plainly where we stand, because this is the hardest file we've written. The revenue is real, as far as anyone outside the company can tell: the Times says it was shown the

financials. The way some of that revenue was won is a different matter, and we're going to give it as much room as the success. Both things are true at once. If you only have five minutes, skip to "What happened next". (All figures are in US dollars.)

THE SHORT VERSION

- **Who:** Matthew Gallagher, 41, of Los Angeles, founder of Medvi. His brother Elliot is the only other full-time employee.
- **What:** Medvi sells weight-loss medication online. It runs the website, the advertising, the checkout and customer service. The doctors, pharmacies and shipping belong to other companies.
- **Why it matters:** it's the nearest thing we have to proof that a tiny team with AI tools can build a very large business. It also shows what happens when AI-made marketing meets medicine.
- **The numbers to remember:** $401 million, Medvi's sales in 2025. And 20 February 2026, the date on a warning letter from the US drug regulator, six weeks before the Times story ran.

THE FOUNDER

Gallagher didn't come up through Silicon Valley. According to the Times, he moved around a lot as a child and at times his family lived in motels and in cars. They settled in Cincinnati when he was 12. A relative gave him a laptop, and he taught himself to code on it.

As a teenager he built websites for local businesses and sold things on eBay. At 18 he sold a small web-hosting business for $6,000. He enrolled at two universities and didn't graduate from either. In 2010 he moved to Los Angeles to become an actor. That didn't work out, and he went back to code.

In 2016 he started Watch Gang, a subscription club that posted its members a wristwatch every month. It had fans and it grew to about 60 employees. The Times reports that it never turned a profit.

That last fact explains a lot about Medvi. Gallagher had already built a company the usual way, with a big team and a payroll, and it hadn't made money. When he started again he went to the other extreme. "For the first time, I'm not in survival mode," he told the Times.

THE BUSINESS, IN PLAIN LANGUAGE

Medvi isn't a clinic. It works more like a shop window.

The drugs in question are GLP-1 medications, the class that includes Ozempic, Wegovy and Zepbound. They work, they're expensive, and for a long stretch they were in short supply. During that shortage, US rules allowed specialist pharmacies to "compound" their own versions using the same active ingredients, and sell them for far less. A wave of online

companies sprang up to connect patients to those pharmacies.

Medvi is one of them. A customer lands on the website, fills in a health questionnaire and pays. From there, other companies do the regulated work. A licensed clinician reviews the answers and writes the prescription, a pharmacy makes up the medication, and it's shipped to the customer's door. The first month started at about $179.

The Times names two partners that provide this machinery. CareValidate sells what the paper calls "telehealth in a box": software plus a network of online doctors. OpenLoop Health offers a similar bundle covering doctors, pharmacies, shipping and compliance. Any business can rent them. Gallagher met one of CareValidate's co-founders in 2024, and that meeting is where Medvi began.

So Medvi's own job is everything in front of the prescription: finding customers, persuading them, taking payment and answering their questions. In other words, it's a marketing and customer-service company, and that's the part Gallagher built with AI.

One more piece of context. The regulator declared the shortage of semaglutide, the ingredient in Ozempic and Wegovy, over in February 2025. That narrowed the legal room for mass compounding, and the rules have been contested ever since. Medvi grew to $401 million during exactly that period.

TWO MONTHS AND $20,000

Gallagher started work in September 2024. He told the Times it took about two months and $20,000 to get Medvi live, a sum that covered the software and the first month of advertising.

JOB	WHAT DID IT
Building the website	ChatGPT, Claude and Grok, writing the code
Connecting the systems	Custom AI agents he built to pass information between the site, payments and partners
Images and video for the site and ads	Midjourney and Runway
Talking to customers	A chatbot, plus ElevenLabs and other voice tools. He also made an AI clone of a voice to schedule appointments
Knowing how the business was doing	AI analysis of his own numbers

He's clear about what this is and isn't. "It's not an AI company," he said, "but I did it with AI."

The people were few. Elliot, 36, joined in April 2025, and his job is to intercept the messages that need a person. There are two contract engineers. A law firm, an accounting firm and outside agencies that buy advertising make up the rest. The Times itself points out that this isn't really a one-person company. But it's very much smaller than anything else of its size.

The growth was fast from the first week. Medvi reportedly signed up 300 customers in its first month and had about 1,300 by its second.

THE NUMBERS

WHAT	FIGURE	WHO SAYS SO
2025 sales	$401 million	The New York Times, which says it reviewed the financials
Customers at the end of 2025	About 250,000	Same
2025 net profit	16.2 percent, about $65 million	Same
For comparison, Hims & Hers	About $2.4 billion in revenue, 2,442 employees, 5.5 percent net margin	As cited by the Times
2026 sales	“On track” for about $1.8 billion, at over $3 million a day	Gallagher. A projection
Profit so far in 2026 (to April)	$70 million to $80 million	Gallagher
Men’s health line, launched February 2026	50,000 customers in its first month	Gallagher

A word about that headline. “$1.8 billion company” sounds like a valuation. It isn’t one. Medvi has never raised outside money, so nobody has ever put a price on it. The $1.8 billion was Gallagher’s forecast of this year’s sales, made in the spring. We haven’t seen any update on whether it’s holding.

The investor Kobie Fuller, quoted by the Times, put it this way: “This is an extreme example, but I don’t think it’s going to be the last by any stretch.”

WHAT THE TIMES ITSELF REPORTED

The original profile is often described as a puff piece, but the article included some uncomfortable details of its own.

- Early versions of the site showed smiling customers who looked AI-generated, and before-and-after weight-loss photos with faces swapped in from elsewhere on the internet. Gallagher acknowledged this to the paper.
- Some of the ads were described as “AI slop”.
- A strip of media logos on the site suggested Medvi had been featured in Bloomberg and the Times. It had only bought advertising there.
- The chatbot sometimes made up drug prices. Gallagher honoured them. It also told customers Medvi sold hair-loss drugs, which it didn’t.
- And there’s the phone, which rang through to him more than a thousand times.

Under one photograph, he is quoted saying something that stayed with us: “At this point, I kind of want to hire people because I’m lonely.”

WHAT HAPPENED NEXT

The story went viral on 2 April. Over the next ten days, other reporters went looking, and found things the profile hadn’t mentioned. Here is what has been reported, by whom, and what Medvi says. We’ve kept allegations as allegations.

The warning letter. On 20 February 2026, six weeks before the profile, the Food and Drug Administration issued a warning letter addressed to MEDVi, LLC. As described by the trade publication Drug Discovery & Development, the FDA said the company’s marketing made its compounded drugs “misbranded”. It gave two reasons. The website suggested that Medvi made the medication itself, and phrases such as “same active ingredient as” two famous brands implied the regulator had approved or evaluated the product, which it hadn’t. The letter warned that failing to fix this could lead to seizure or an injunction.

A warning letter is a formal caution. It doesn’t amount to a finding of guilt, a fine or a ban.

Medvi’s answer, in a statement on 8 April, was that the website the FDA cited, medvi.io, belonged to an affiliate marketing agency, that its real site is medvi.org, and that it had “never received a letter from the FDA”. Drug Discovery & Development disputes that, pointing out that the letter is addressed to Medvi by name, uses a Medvi email address and quotes Medvi-branded claims. We haven’t seen the letter ourselves.

The doctors who didn’t exist. Business Insider searched Meta’s public library of adverts and found Facebook and Instagram ads for Medvi fronted by doctors who appeared to be AI-generated. Some of the profiles had garbled text and watermarks from image generators. Some of the accounts had reportedly belonged, in an earlier life, to a gospel musician and a clothing shop.

Gallagher told Business Insider that “maybe 30 percent” of Medvi’s advertising ran through affiliates, outside marketers who are paid for each customer they bring in. He blamed “poorly-policed affiliates” and said Medvi’s policy is to disclose any actor or AI portrayal of a doctor, or not to use one. “If we find an affiliate doing this, we work to take these ads down,” he said. He reportedly didn’t answer questions about how Medvi monitors its affiliates.

After the reporting, the number of active Medvi-related ads fell from more than 5,000 to about 2,800. Medvi’s April statement said it had only “recently become aware” of ads featuring “potentially AI-generated medical practitioners”. Its site now reportedly says that people in its ads may be actors or models, and that some material is AI-generated.

The real doctors. Drug Discovery & Development also looked up two physicians who were named on Medvi’s website. It reported that their Florida state profiles listed no recognised specialty board certifications. Both were removed from the site on 10 April, after the publication asked for comment.

Complaints and lawsuits. In September 2025, months before any of this, the National Consumers League had asked the Federal Trade Commission to investigate Medvi and five other telehealth firms over phrases like “doctor-approved”. Separately, a class action filed in California on 20 March 2026 accuses Medvi of benefiting from spam emails sent by affiliates, and press reports say it has been sued at least three times over unsolicited texts and emails. Medvi denies the claims.

The wider crackdown. Medvi wasn’t singled out. The FDA has sent similar letters to dozens of telehealth companies over how they market compounded GLP-1 drugs.

Where it stands now. We searched again in early November 2026. We found no enforcement action against Medvi by the FTC or any state attorney general, and no published outcome to the lawsuits. But coverage since the spring has been thin, so take that as a statement about what we could find.

In short, the revenue is credibly documented. The claim that it was won cleanly isn’t. And the company has acknowledged, in writing, at least part of the marketing problem.

WHAT TO COPY, AND WHAT NOT TO

There are two stories in this file, and it matters to keep them apart.

The structure is legitimate, and it’s the real lesson.

- **Rent the regulated layer.** Medvi employs no doctors and owns no pharmacy. It pays specialists to do the licensed work and keeps the customer relationship. The same shape exists in insurance, payments, lending and law.
- **Use AI as the glue.** Small custom agents passing information between the website, the payment system and the partners did the work of an operations department.
- **Start small and real.** He spent two months and $20,000 and had paying customers in the first month. Compare that with Watch Gang, which had 60 people and no profit.

The marketing isn’t to be copied.

- AI-generated before-and-after photos, invented doctors and media logos you haven’t earned aren’t clever shortcuts. In health they are the exact things regulators, platforms and journalists look for, and they destroy the trust that’s the only thing a medical brand really sells.
- Paying affiliates for every customer and not watching what they do is a decision, and “the affiliates did it” won’t protect you. Regulators generally hold the brand responsible, and so do customers.
- Notice the margin. Hims & Hers keeps 5.5 percent with 2,442 staff. Medvi kept 16.2 percent with two. Some of that gap is AI doing work people used to do. Some of it, the critics argue, is the cost of compliance staff Medvi doesn’t have.

Try this

Three questions before you rent anyone's regulated layer. Ask them in writing. Who is legally responsible for the claims on my website? Who approves my ads before they run? What happens to my business if my partner is investigated?

Write your AI's "never" list. Medvi's chatbot invented prices and products. Decide today what yours may never state on its own (prices, medical or legal claims, refunds, guarantees) and where a person takes over.

Search for yourself once a quarter. Look up every ad, affiliate page and review that carries your name, including in the ad libraries the big platforms publish. If you can't find them, you can't control them.

Give customers a real way to reach a human. One that isn't your own mobile.

WHAT COULD GO WRONG

The rules. The whole business rests on compounded versions of patented drugs, in a market where the shortage that justified them is officially over. A firmer line from the FDA could hit the model in one move.

The partners. Two companies provide the doctors and pharmacies, and a handful of advertising platforms provide the customers. Any of them could change its terms or come under investigation itself.

Trust. People are buying injectable medication from a website. The coverage that made Medvi famous also told the public about swapped faces and invented doctors, and that's hard to live down.

The forecast. The 2025 figures were reviewed by a newspaper. The 2026 figures are the founder's own projection, made before the criticism landed.

The human cost. Gallagher has said he's lonely, and his phone has rung a thousand times. However profitable it is, two people running a company with 250,000 customers is a strain, and it shows.

WHAT TO WATCH

1. **The regulators.** Any action from the FDA, the FTC or a state attorney general, and any change to the compounding rules.
2. **The forecast.** Whether anyone confirms what Medvi's sales turned out to be this year, and whether the men's health line overtook weight loss as Gallagher predicted.
3. **The affiliates.** Whether Medvi now polices its advertising, or brings it in-house.
4. **The hiring.** Whether a company this size can stay at two employees, and whether it should.

A boy who taught himself to code on a borrowed laptop grew up to build, in two months, one of the most profitable small companies in America. He did it with real ingenuity. He also did it with fake faces in the advertising. Anyone who gives you only one of those facts has left out half of what happened.

That's File #006. Thank you for reading it. If it made you think of someone, forward it along, and if there's a founder you'd like to see opened next, tell us at info@aifounderfiles.com. File #007 lands next Sunday.

Where this came from: the Times profile (as reprinted by GV Wire), Forbes, and the follow-up reporting listed below. Figures for 2025 were reviewed by the Times; 2026 figures are the founder's projections. Allegations are reported as allegations, with the company's response where we could find it. We haven't seen the FDA letter itself, and we haven't asked Medvi to comment. Nothing here is medical advice. A note on disclosure: Anthropic makes Claude, one of the tools Gallagher says he used, and Claude helped research and draft this file. Spotted a mistake? Email info@aifounderfiles.com and we'll correct it.

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